Tab 5

Revenue drop , Customer drop :
Ask follow up questions :

Case 1: Revenue Dropped 15% MoM

Interview Prompt - Revenue dropped 15% last month. Investigate and recommend actions.

Step 1: Clarify

I'd like to start with a few clarifying questions:

- Is the decline MoM or YoY?
- Is it company-wide or limited to specific categories?
- Were there any major changes to pricing, promotions, inventory, logistics, or product experience?

Assume it's a platform-wide MoM decline.

Step 2: Build the Metric Tree

Revenue = Traffic × Conversion Rate × AOV

I want to quantify how much each component contributed to the decline.

Example:

Metric	Previous	Current
Traffic	100M	95M
Conversion	5.0%	4.4%
AOV	$50	$50

Revenue:

- Previous = 100M × 5% × 50 = $250M
- Current = 95M × 4.4% × 50 = $209M

Traffic and conversion appear to be the primary drivers.

Step 3: Segment the Problem

I would cut the data by:

- Platform (App vs Web)
- Geography
- Customer cohort
- Acquisition channel
- Product category

Now I will do contribution analysis by each dimension to understand the contribution of each component to overall revenue drop

Suppose we find:

Segment	Revenue Change
Desktop	-3%

Mobile App	-24%

Now the investigation narrows significantly.

Step 4: Funnel Analysis

For mobile users:

App Open → Search → Product View → Add-to-Cart → Checkout → Payment → Purchase

Suppose all stages are stable except:

Metric	Before	After
Payment Success Rate	99%	92%

This becomes the leading hypothesis.

Step 5: Validate Root Cause

I'd partner with Engineering and check:

- Recent releases
- Error logs
- Payment provider performance
- Android vs iOS differences

Suppose we discover:

- New payment SDK launched 2 weeks ago
- Android users disproportionately affected
- Revenue decline starts immediately after deployment

Root cause identified.

Recommendation

Immediate

- Roll back SDK release
- Redirect transactions to backup payment provider
- Closely monitor payment success rates

Medium-Term

- Build automated conversion anomaly detection
- Introduce release health dashboards

Long-Term

- Multi-provider payment redundancy
- Canary deployment framework

Manager-Level Summary

> Revenue declined primarily because mobile payment success rates dropped from 99% to 92% after a payment SDK deployment. This reduced conversion among app users and accounts for the majority of the 15% revenue decline. I would immediately roll back the release, restore payment reliability, and implement monitoring safeguards.

Case 2: Conversion Rate Dropped

Interview Prompt - Conversion declined from 4.5% to 3.8%. What happened?

Step 1: Clarify

I'd ask:

- When did the decline start?
- Is it platform-wide?
- Any operational or product changes around that time?

Step 2: Map the Funnel

Visitor → Search → Product View → Add-to-Cart → Checkout → Purchase

I would identify where users are dropping off.

Example:

Stage	Before	After
Visitors	10M	10M
Product Views	5M	5M
Add-to-Cart	2M	2M
Checkout	1.5M	1.5M
Purchase	450K	380K

The issue occurs between Checkout and Purchase.

Step 3: Generate Hypotheses

Potential causes:

Technical

- Checkout bug
- Payment failures

Customer Experience

- Delivery promises worsened
- **Unexpected fees**

Supply

- Inventory shortages

Competitive

- Major competitor promotion

Step 4: Investigate Delivery Experience

Suppose analysis shows:

Metric	Before	After
Same-Day Coverage	85%	52%
Avg Delivery Promise	0.8 days	2.6 days

This coincides with a fulfillment center outage.

Step 5: Customer Impact

Users reaching checkout suddenly see:

"Delivery in 2–3 days"

instead of

"Delivery Today"

For a company whose value proposition is fast delivery, this directly impacts purchase intent.

Recommendation

Immediate

- **Rebalance inventory across nearby FCs**
- Increase temporary capacity

Medium-Term

- Improve fulfillment forecasting
- Add contingency plans

Long-Term

- FC redundancy strategy

Manager-Level Summary

> Conversion fell because fulfillment constraints reduced same-day coverage from 85% to 52%, increasing delivery promises by nearly two days. The impact was strongest among frequent customers who value fast delivery. Restoring fulfillment capacity should be the top priority.

Case 3: Repeat Purchase Rate Falling

Interview Prompt - Customers are making their first purchase but not returning.

Step 1: Define the Metric

First, I'd clarify:

Repeat Purchase Rate = % of customers who place another order within 90 days of their first purchase

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Step 2: Segment the Problem

I would analyze by:

- Acquisition channel
- Product category
- Geography
- Customer cohort
- Seller type

Step 3: Cohort Analysis

Example:

Cohort	90-Day Retention
Jan	42%
Feb	39%
Mar	34%
Apr	28%

Retention is consistently deteriorating.

Step 4: Look for Experience Changes

I would examine:

- NPS
- Customer complaints
- Refund rates
- Return rates
- Customer support tickets

Suppose complaints have increased significantly.

Step 5: Identify Driver

Further segmentation reveals:

Seller Group	Repeat Purchase Rate
Established Sellers	43%
Newly Onboarded Sellers	18%

At the same time:

- Complaint rates increased 3x
- Product quality issues increased
- Seller fraud incidents increased

Root Cause

Aggressive seller acquisition expanded selection but reduced marketplace quality.

Recommendation

Immediate

- Pause low-quality seller onboarding

Medium-Term

- Introduce seller quality scores
- Improve fraud detection

Long-Term

- Quality-weighted seller ranking

Manager-Level Summary

> Retention decline is concentrated among customers purchasing from recently onboarded sellers. Complaint rates tripled and repeat purchase rates dropped from 42% to 18%. The business traded quality for seller growth. I would strengthen seller quality controls while preserving marketplace expansion.

Case 4: Same-Day Delivery Cost Increased 20%

Interview Prompt - Same-day delivery costs increased by 20%. Investigate.

Step 1: Build Cost Structure

Delivery Cost = Warehouse Cost + Transportation Cost + Labor Cost + Failed Delivery Cost

I would identify which component is driving the increase.

Step 2: Quantify the Drivers

Example:

Cost Component	Increase
Warehouse	+4%
Labor	+3%
Fuel	+2%
Last-Mile Delivery	+18%

The majority of the increase comes from last-mile delivery.

Step 3: Analyze Operational Efficiency

Key metrics:

- Orders per route
- Distance per delivery
- Delivery density
- Driver utilization

Suppose:

Metric	Before	After
Orders per Route	120	85
Avg Distance	4 km	7 km

Efficiency has deteriorated.

Step 4: Identify Business Change

Further investigation shows:

- Same-day coverage expanded into suburban areas
- Delivery density dropped significantly
- Drivers travel farther for fewer deliveries

Step 5: Evaluate Trade-Off

Expansion increased customer reach but hurt unit economics.

Question becomes:

> Is the additional customer growth worth the extra logistics cost?

I'd quantify incremental revenue versus incremental delivery cost before making a final recommendation.

Recommendation

Immediate

- Identify lowest-density delivery zones
- Restrict same-day delivery where economics are poor

Medium-Term

- Dynamic delivery promises based on density

Long-Term

- Route optimization models
- Demand forecasting for delivery planning

Manager-Level Summary

> The cost increase is primarily driven by expansion into low-density suburban zones where route density fell by roughly 30%. While customer reach increased, last-mile economics deteriorated significantly. I would implement density-based delivery promises and selectively reduce same-day coverage in the least profitable regions to recover most of the cost increase without materially impacting customer satisfaction.

Case 5: Seller Growth Has Stalled

Interview Prompt

The Marketplace team reports that seller growth has stalled over the last two quarters. Investigate and recommend solutions.

Step 1: Clarify the Problem

I'd first define what "seller growth" means:

- New seller registrations?
- Active sellers?
- Sellers generating revenue?
- Seller retention?

Let's assume **active sellers** have plateaued.

Step 2: Build the Seller Funnel

Lead → Signup → Store Creation → Product Listing → First Sale → Active Seller

The first goal is identifying where the bottleneck exists.

Step 3: Quantify Funnel Leakage

Example:

Stage	Before	Current
Leads	100K	100K
Signup	60K	58K
Store Creation	50K	48K
Product Listing	45K	44K
First Sale	35K	22K

The biggest drop is occurring before first sale.

Step 4: Investigate Root Causes

Potential reasons:
Demand Side
- New sellers not getting visibility
- Search ranking favors incumbents

Supply Side
- Difficult onboarding
- Poor pricing competitiveness

Experience

- Complex fulfillment setup
- Slow payment cycles

Suppose we find:
New sellers receive 40% less search exposure than a year ago due to ranking algorithm changes.

Step 5: Business Impact

New sellers fail to generate early sales.

Without early success:

- Churn increases
- Listings become inactive
- Marketplace selection growth slows

Recommendation

Immediate

- Boost visibility for new sellers
- Create "new seller discovery" placements

Medium-Term

- Seller onboarding optimization
- Guided pricing recommendations

Long-Term

- Marketplace ranking balancing seller quality and discovery

Manager-Level Summary

> Seller acquisition remains healthy, but first-sale conversion has declined significantly. New sellers are receiving less exposure due to ranking changes, leading to poor activation and higher churn. I would focus on improving seller activation rather than increasing top-of-funnel acquisition.

Case 6: NPS Dropped from 62 to 51

Interview Prompt - Customer NPS declined from 62 to 51 over the last quarter. What happened?

Step 1: Clarify

I would ask:

- Is this decline broad-based or concentrated?
- Did any major operational or product changes occur?

Step 2: Segment NPS

Break down by:

- Delivery experience
- Product quality
- Returns
- Customer support
- App experience

Example:

Area	NPS Change
Delivery	-2
Product Quality	-3
Returns	-1
Customer Support	-12

Customer support stands out.

Step 3: Investigate Support Metrics

Review:

- Average response time
- Resolution rate
- Repeat contacts
- Escalation rate

Suppose:

Metric	Before	After
Avg Response Time	2 min	11 min
Resolution Rate	89%	72%

Step 4: Root Cause

Customer service outsourcing occurred three months ago.

Consequences:

- Longer wait times
- Lower resolution quality
- Increased customer frustration

Step 5: Prioritize

Not every NPS issue deserves equal attention.

Since support explains most of the decline, I'd focus there first.

Recommendation

Immediate

- Increase staffing
- Improve escalation paths

Medium-Term

- Retrain support teams
- Enhance knowledge base

Long-Term

- AI-assisted customer support
- Proactive issue resolution

Manager-Level Summary

> NPS deterioration is largely driven by customer support performance following an outsourcing transition. Response times increased 5x and resolution rates dropped materially. Fixing support operations should restore the majority of the lost customer satisfaction.

Case 7: Launching a New Grocery Category

Interview Prompt

Coupang is launching a grocery business. How would you measure success?

Step 1: Clarify Objective

Success could mean:

- Revenue growth
- Customer acquisition
- Retention improvement
- Membership adoption

Let's assume the goal is long-term customer engagement and revenue growth.

Step 2: Define North Star Metric

My primary metric would be:

Incremental Grocery GMV

However, one metric alone isn't sufficient.

Step 3: Build Success Framework

Business Metrics

- Grocery GMV
- Grocery Orders
- Revenue

Customer Metrics

- New Customers
- Repeat Purchase Rate
- Order Frequency

Operational Metrics

- On-Time Delivery
- Fill Rate
- Product Availability

Financial Metrics

- Contribution Margin
- Delivery Cost per Order

Step 4: Define Guardrails

Growth without quality can destroy the business.

Guardrails:

- Refund Rate
- Cancellation Rate
- NPS
- Product Spoilage Rate

Step 5: Measure Incrementality

A key question:

Are grocery orders truly incremental?

Or are customers shifting spending from existing categories?

I'd compare:

- Total customer spend before grocery launch
- Total spend after grocery launch

Recommendation

I'd consider the launch successful if:

- Grocery drives incremental GMV
- Customer purchase frequency increases
- Retention improves
- Unit economics trend positively

Manager-Level Summary

> Success shouldn't be measured solely through grocery sales. The real objective is increasing customer engagement and lifetime value. I would evaluate whether grocery purchases increase order frequency, retention, and overall customer spend while maintaining healthy unit economics.

Case 8: Coupon Program Isn't Working

Interview Prompt

Coupang spent $5M on coupons but revenue barely changed. Investigate.

Step 1: Clarify

The biggest mistake would be looking at total revenue. The key question is: What was the incremental impact of coupons?

Step 2: Build Experiment Framework

Compare:

Coupon Group vs Control Group

Metrics:

- Conversion
- Orders
- Revenue
- Profit

Step 3: Investigate Customer Behavior

Suppose:

Metric	Coupon Group	Control
Conversion	+12%	
Revenue	+1%	
Profit	-8%	

This suggests many purchases would have happened anyway.

Step 4: Identify Causes

Potential issues:

Cannibalization

Existing customers use discounts on purchases they already intended to make.

Poor Targeting

Coupons distributed broadly rather than to price-sensitive users.

Coupon Abuse

Multiple accounts exploiting promotions.

Suppose we find:

70% of coupon spend went to highly active customers with historically high purchase rates.

Step 5: Improve Strategy

Instead of broad distribution:

Target:

- Inactive customers
- First-time customers
- Price-sensitive segments

Recommendation

Immediate

- Stop blanket coupon campaigns

Medium-Term

- Build propensity models
- Personalize incentives

Long-Term

- Optimize incentives based on predicted incrementality

Manager-Level Summary

> The coupon program generated activity but little incremental value because most discounts were consumed by customers who would have purchased anyway. Coupon targeting should shift from high-frequency customers to segments where discounts can genuinely change behavior, improving ROI while reducing promotional spend.

For Cases 5–8, expect follow-up questions like:

- "Which metric would you prioritize and why?"
- "What trade-offs are you making?"
- "How would you estimate financial impact?"
- "What if Engineering resources are limited?"
- "How would you convince a skeptical VP?"

Those follow-ups often determine whether you're evaluated as a Senior Analyst or an Analytics Manager/Staff Analyst. The quality of prioritization and business judgment matters more than finding the perfect root cause.

Case 9: Traffic Increased 30%, Revenue Stayed Flat

Interview Prompt - Traffic increased significantly after a marketing campaign, but revenue remained unchanged. What happened?

Step 1: Structure the Problem

Revenue = Traffic × Conversion Rate × AOV

Since traffic increased but revenue didn't, either:

- Conversion decreased
- AOV decreased
- Both decreased

Step 2: Quantify

Metric	Before	After
Traffic	100M	130M
Conversion	5.0%	3.8%
AOV	$50	$50

The conversion drop completely offset traffic growth.

Step 3: Segment Traffic

Break down by:

- Acquisition channel
- New vs Returning users
- Geography
- Device

Suppose:

Channel	Traffic Growth
Organic	+5%
Paid Social	+120%

The growth is primarily from paid social.

Step 4: Evaluate Traffic Quality

Compare:

Metric	Existing Traffic	New Social Traffic
Conversion	5%	1.2%

The campaign brought visitors but not buyers.

Root Cause

Marketing optimized for clicks instead of purchases.

The campaign attracted low-intent users.

Recommendation

Immediate

- Shift campaign optimization from CTR to conversions

Medium-Term

- Improve audience targeting

Long-Term

- Use ROAS and LTV-based bidding

Manager-Level Summary

> Traffic growth itself isn't valuable unless it converts into business outcomes. The campaign successfully acquired visitors but failed to attract high-intent customers. I would re-optimize acquisition toward conversion and revenue rather than traffic volume.

Case 10: Electronics Category Revenue Dropped 20%

Interview Prompt

Revenue in Electronics declined 20% while other categories remained stable.

Step 1: Decompose Revenue

Category Revenue = Traffic × Conversion × AOV

Determine which factor changed.

Step 2: Quantify

Metric	Before	After
Traffic	Stable	Stable
Conversion	4.5%	3.5%
AOV	Stable	Stable

The issue is conversion.

Step 3: Investigate Conversion Drivers

Potential causes:

- Pricing changes
- Inventory issues
- Product availability
- Competitor promotions
- Search ranking changes

Step 4: Analyze Availability

Suppose:

Metric	Before	After
In-Stock Rate	96%	82%

Several high-volume SKUs are unavailable.

Step 5: Root Cause

Supplier disruptions affected top-selling electronics products.

Customers search, but products are unavailable.

Business Impact

Inventory problems hurt:

- Conversion
- Customer satisfaction
- Competitive position

Recommendation

Immediate

- Prioritize replenishment of top-selling SKUs

Medium-Term

- Improve inventory forecasting

Long-Term

- Diversify supplier base

Manager-Level Summary

> Electronics revenue declined because inventory availability for top-selling products dropped significantly. Traffic remained healthy, indicating demand is intact. Restoring product availability should recover most of the lost revenue.

Case 11: Delivery Delay Complaints Doubled

Interview Prompt - Customer complaints regarding delivery delays doubled over the last month.

Step 1: Clarify

I would ask:

- Is the issue national or regional?
- Did order volume change?
- Any operational changes recently?

Step 2: Build Delivery Framework

Order Placement → Fulfillment → Sortation → Transportation → Last-Mile Delivery

Identify where delays are occurring.

Step 3: Segment Delays

Suppose:

Region	Delay Increase
Seoul	+5%
Busan	+8%
Suburban Regions	+85%

The issue is highly concentrated.

Step 4: Investigate Operations

Review:

- Warehouse utilization
- Driver availability
- Route efficiency
- Weather disruptions

Suppose:

Metric	Before	After
Driver Fill Rate	95%	72%

Driver Fill Rate = Driver slots filled / Driver slots required

A labor shortage is causing last-mile bottlenecks.

Step 5: Estimate Impact

Delivery delays affect:

- Conversion
- Retention
- NPS
- Membership value perception

The impact extends beyond operations.

Recommendation

Immediate

- Increase temporary driver capacity

Medium-Term

- Dynamic routing adjustments

Long-Term

- Labor forecasting models

Manager-Level Summary

> Delivery delays are primarily caused by a last-mile capacity shortage in suburban regions where driver availability fell significantly. Addressing driver capacity should be the highest-priority intervention because the issue directly impacts both customer satisfaction and future retention.

Case 12: Customer Acquisition Cost Increased 40%

Interview Prompt - Customer acquisition cost (CAC) increased by 40% over two quarters. Investigate.

Step 1: Clarify

First question:

Is this driven by:

- Higher advertising costs?
- Lower conversion?
- Both?

Step 2: Decompose CAC

CAC = Marketing Spend ÷ New Customers Acquired

Both numerator and denominator need examination.

Step 3: Analyze Marketing Channels

Channel	CAC Increase
Search	+10%
Affiliates	+5%
Social Media	+80%

Social media stands out.

Step 4: Investigate Performance

Suppose:

Metric	Before	After
CPC	$1.00	$1.70
Conversion	3.0%	2.2%

The business is paying more and converting less.

Step 5: Evaluate Economics

CAC alone isn't enough.

I'd compare:

LTV/CAC Ratio

Metric	Before	After
LTV	$180	$180
CAC	$45	$63

LTV/CAC falls from 4.0 to 2.9.

Economics are deteriorating.

Root Cause

Increased competition in paid channels is driving advertising inflation while campaign quality declines.

Recommendation

Immediate

- Reduce spend on inefficient campaigns

Medium-Term

- Improve audience targeting
- Increase organic acquisition

Long-Term

- Build LTV-based bidding models

Manager-Level Summary

> CAC increased because paid social costs rose sharply while conversion rates declined. The resulting deterioration in LTV/CAC indicates a real economic problem rather than a temporary marketing fluctuation. I would reallocate spend toward higher-efficiency channels and optimize around long-term customer value rather than acquisition volume.

Case 13: Search Usage Increased, Orders Decreased

Interview Prompt - More customers are using search than ever before, but orders have declined. Investigate.

Step 1: Clarify the Problem

This is a classic marketplace/product analytics case.

Search usage increasing is generally positive, so the key question is:

> Where is the search funnel breaking?

Step 2: Build the Search Funnel

Search → Search Result Click → Product Page View → Add-to-Cart → Purchase

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Step 3: Quantify Funnel Changes

Stage	Before	After
Searches	100M	120M
Result Clicks	40M	30M
Product Views	38M	29M
Purchases	4M	3M

The biggest issue appears immediately after search.

Step 4: Generate Hypotheses

Potential causes:

Search Quality

- Results less relevant

Inventory

- Top products out of stock

Ranking Changes

- Poor ranking algorithm

Customer Intent

- More exploratory browsing

Step 5: Investigate Search Relevance

Metrics I'd examine:

- Click-through rate (CTR)
- Reformulation rate (users searching again)
- Zero-result rate
- Time to first click

Suppose:

Metric	Before	After
CTR	40%	25%
Search Reformulation	15%	35%

Users aren't finding what they want.

Root Cause

A ranking algorithm update over-weighted sponsored products and under-weighted relevance.

Customers are seeing ads rather than the products they want.

Recommendation

Immediate

- Roll back ranking change

Medium-Term

- Rebalance relevance vs monetization

Long-Term

- Continuous search quality monitoring

Manager-Level Summary

> Search volume growth indicates customer intent remains healthy. The problem is that search quality deteriorated following a ranking change, causing CTR to fall and search reformulations to rise. I would prioritize restoring relevance because every downstream metric depends on it.

Case 14: Product Return Rate Increased from 5% to 9%

Interview Prompt - Returns have nearly doubled over the last quarter. Investigate.

Step 1: Segment the Problem

Returns are rarely uniform.

I'd analyze by:

- Category
- Seller
- Geography
- Product
- Customer segment

Step 2: Quantify

Suppose:

Category	Return Rate
Grocery	2%
Electronics	4%
Fashion	18%

Fashion stands out.

Step 3: Investigate Return Reasons

Common reasons:

- Wrong size
- Product mismatch
- Damaged product
- Quality concerns

Suppose:

Return Reason	Share
Size Issues	60%
Quality Issues	15%

Damage	10%
Other	15%

Step 4: Root Cause Analysis

Dig deeper into product pages.

Suppose:

- New supplier onboarding increased
- Size charts inconsistent across brands
- Product images inaccurate

Business Impact

Returns create:

- Reverse logistics costs
- Refund costs
- Customer dissatisfaction
- Inventory write-offs

This is not just an operations issue.

Recommendation

Immediate

- Fix high-return SKUs

Medium-Term

- Standardize size guides

Long-Term

- Predictive return-risk models

Manager-Level Summary

> The return increase is concentrated within fashion and primarily driven by sizing issues. Improving product information quality is likely to generate a larger ROI than focusing on logistics because it addresses the root cause rather than the symptom.

Case 15: A/B Test Shows +2% Conversion. Should We Launch?

Interview Prompt - An experiment shows a 2% lift in conversion. Should we launch?

Step 1: Avoid the Trap

Many candidates immediately say:

> Yes, launch it.

That is usually incorrect.

Step 2: Validate Experiment Quality

Questions I'd ask:

- Is the result statistically significant?
- Was randomization successful?
- Was sample size sufficient?
- Any SRM (Sample Ratio Mismatch)?

Step 3: Examine Business Impact

Suppose:

Metric	Impact
Conversion	+2%
Revenue	+1.8%
Profit	-4%

Now the answer changes.

Step 4: Check Guardrail Metrics

Potential negative impacts:

- Higher returns
- Slower page load
- Customer complaints
- Increased support tickets

Example:

Metric	Change
Conversion	+2%
Return Rate	+10%
NPS	-4 points

Step 5: Long-Term Effects

A short-term conversion gain can hurt long-term retention.

I'd want to evaluate:

- Repeat purchase behavior
- Customer satisfaction
- Lifetime value impact

Recommendation

Decision depends on total business impact, not conversion alone.

Manager-Level Summary

> A conversion increase is only one input into the decision. Before launching, I'd verify statistical validity, evaluate profitability, and review guardrail metrics. If the feature improves conversion while harming customer experience or profitability, I would not launch despite the headline result.

Case 16: Warehouse Productivity Dropped 15%

Interview Prompt - Orders processed per warehouse worker dropped by 15%. Investigate.

Step 1: Define Productivity

A common metric: **Productivity = Orders Processed ÷ Labor Hours**

Determine whether the numerator fell, the denominator increased, or both.

Step 2: Break Down Warehouse Operations

Receiving → Storage → Picking → Packing → Shipping

Find where efficiency deteriorated.

Step 3: Analyze Operational Metrics

Suppose:

Metric	Before	After
Pick Time	3 min	5 min
Pack Time	2 min	2 min
Ship Time	Stable	Stable

Picking becomes the focus.

Step 4: Investigate Changes

Potential reasons:

- Warehouse layout changes
- Inventory relocation
- Workforce turnover
- Product mix changes

Suppose:

A new warehouse optimization initiative increased storage utilization.

Result:

Workers now walk farther between picks.

Step 5: Quantify Impact

Metric	Before	After
Avg Walking Distance	120m	210m
Picks/Hour	100	82

The warehouse became space-efficient but labor-inefficient.

Business Trade-Off

This is where manager-level thinking matters.

The question isn't: "Did productivity drop?"

The question is: "Did the increased storage capacity create enough value to justify lower productivity?"

Recommendation

Immediate - Reorganize top-selling SKUs closer to pick zones

Medium-Term - Slotting optimization

Long-Term - Simulation-based warehouse design

Manager-Level Summary

> Productivity declined because a storage optimization initiative increased average picker travel distance by nearly 75%. The organization optimized warehouse utilization without fully considering labor efficiency. I would redesign slotting strategy to balance space utilization and picking productivity.

Why Cases 13–16 Are Manager-Level

Notice that none of these cases are solved by simply finding a metric that moved.

The interviewer is looking for whether you can identify the **trade-off**:

Case	Trade-Off
Search Ranking	Relevance vs Ad Revenue
Returns	Growth vs Product Quality
A/B Test	Conversion vs Profitability/NPS
Warehouse Productivity	Capacity vs Labor Efficiency

A Senior Analyst often stops after identifying the root cause.

An Analytics Manager continues one step further:

"Should we actually fix this, and what are the business consequences of doing so?"

That's the difference between analytical diagnosis and business leadership.

Case 17: Competitor Launches Free Delivery Nationwide

Interview Prompt - A major competitor announces free delivery for all orders. How should Coupang respond?

Step 1: Avoid the Obvious Trap

Many candidates immediately say: We should match free delivery. That's usually not the right first step.

The first question is: How much customer behavior will actually change?

Step 2: Build a Decision Framework

I would evaluate:

Customer Impact + Financial Impact + Strategic Impact

Step 3: Estimate Exposure

Segment customers:

Segment	Sensitivity to Delivery Fees
Heavy Users	Low
Prime/Membership Users	Low
Price-Sensitive Customers	High
Infrequent Customers	Medium

Not every customer is equally at risk.

Step 4: Quantify Economics

Suppose:

- Annual delivery revenue = $500M
- Estimated churn risk = 5%

- Revenue at risk = $300M

If matching free delivery costs $500M but protects only $300M, a full rollout may not make sense.

Step 5: Explore Alternatives

Rather than a nationwide response:

Option 1 - Free delivery for high-risk customers only

Option 2 - Lower delivery threshold

Option 3 - Bundle into membership

Option 4 - Category-specific free delivery

Step 6: Run Experiments

Before committing hundreds of millions:

Run geo-based or customer-segment experiments to estimate:

- Conversion lift
- Retention impact
- Margin impact

Recommendation

I would not immediately match.

I would first identify:

- Which customers are at risk
- Which categories are affected
- Whether targeted incentives can achieve similar outcomes at lower cost

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Manager-Level Summary

> The decision should be driven by customer elasticity rather than competitive fear. I would quantify revenue at risk, identify vulnerable segments, and test targeted responses before considering a costly platform-wide free delivery strategy.

Case 18: Membership Growth Has Stalled

Interview Prompt - Coupang's membership program has stopped growing. Investigate.

Step 1: Build the Membership Funnel

Visitor → Membership Page View → Trial Signup → Paid Conversion → Retention

The first objective is identifying where growth slowed.

Step 2: Quantify Funnel Changes

Stage	Before	Current
Visitors	Stable	Stable
Trial Signup	Stable	Stable
Paid Conversion	45%	29%

The issue is converting trial users.

Step 3: Investigate Why

Potential reasons:

Pricing - Membership became more expensive

Value Perception - Benefits no longer compelling

Competition - Alternative programs emerged

Customer Mix - Lower-quality users entering trial

Step 4: Analyze Usage

Suppose:

Metric	Before	After
Avg Benefits Used During Trial	8	3

Trial users are not experiencing the value proposition.

Root Cause

Customers aren't engaging with benefits during the trial period.
Without experiencing value, they don't convert.

Recommendation
Immediate - Improve onboarding
Medium-Term - Highlight high-value benefits
Long-Term - Personalized membership experiences

Manager-Level Summary

> The problem is not acquisition but activation. Trial users are not engaging with membership benefits, resulting in lower paid conversion. Improving benefit discovery and onboarding should drive more growth than increasing marketing spend.

Case 19: Should Coupang Expand into a New Country?

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Interview Prompt - The CEO is considering expansion into a new international market. How would you evaluate it?

Step 1: Define Success

Expansion should create long-term shareholder value. The question is: Can we replicate our competitive advantage profitably?

Step 2: Build Evaluation Framework

I would evaluate five dimensions:

Market Attractiveness - E-commerce penetration, Market size, Growth rate

Competition - Existing players, Market concentration

Operations - Logistics infrastructure, Delivery feasibility

Economics - Customer acquisition cost, Contribution margin, Payback period

Risk - Regulatory environment, Political stability

Step 3: Create a Scorecard
Example:

Dimension	Weight
Market Size	25%
Competition	20%
Logistics	25%
Economics	20%
Risk	10%

This allows objective comparison across countries.

Step 4: Evaluate Strategic Fit

Coupang's strength is operational excellence and fast delivery. A country with weak logistics infrastructure may not allow Coupang to leverage its core advantage.

Step 5: Recommend Entry Approach

Rather than nationwide launch:

- Start with one city
- Validate economics
- Scale gradually

Manager-Level Summary

> I would evaluate expansion based on whether Coupang's logistics and customer experience advantages can be replicated profitably. Market size alone is insufficient; operational feasibility and unit economics ultimately determine success.

Case 20: CEO Asks, "How Is the Business Doing?"

Interview Prompt - You have 10 minutes with the CEO. How would you summarize business performance?

Step 1: Avoid Reporting Hundreds of Metrics

Executives don't want dashboards.

They want answers to:

1. What's happening?
2. Why?
3. What should we do?

Step 2: Build an Executive Framework

I would organize metrics into four categories:

Growth - Revenue, GMV, Orders, Active Customers
Customer Health - Retention, Repeat Purchase Rate, NPS
Operations - Delivery SLA, Cost per Order, Inventory Availability
Financials - Contribution Margin, Profitability, Customer Acquisition Cost

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Step 3: Tell a Story

Example: **What Happened?** Revenue grew 18%.

Why?
- Active customers grew 12%
- Grocery orders grew 40%
- Membership adoption increased

Risks
- Delivery costs rising
- CAC increasing
- Seller quality declining

Step 4: Prioritize

Not all problems deserve attention. I would rank issues by: **Impact × Urgency × Ease of Resolution**

Example CEO Readout

> Revenue grew 18% driven by strong customer growth and grocery adoption. Customer retention remains healthy and operational performance is stable. The two emerging concerns are rising acquisition costs and declining seller quality, both of which could pressure profitability and customer experience if left unaddressed.

Manager-Level Summary

> My objective isn't to report metrics; it's to provide decision support. I would summarize the business through growth, customer health, operations, and profitability, identify the most important risks and opportunities, and recommend where leadership should focus next.